Since May 2020 when the goal of self-reliance was announced, the government has been at pains to explain that this is not a policy of import substitution or an attempt to shut down FDI or ban imports. In fact, more efforts have been taken to explain what Atmanirbhar Bharat isn't, than what it is!

Interpreting the follow-up action taken, the policy seems to have three core objectives: to reduce imports and investments from China; provide protection to domestic manufacturing; and get the Make in India policy to work.

The government is using all the tools—higher tariff, outright ban and technical barriers—to reduce imports and investments from China. While there was some evidence of imports from China reducing initially, it proved too temporary. In fact, in 2020-21, the imports from China rose to be 16.6% of India's total imports, which was not only much higher than the previous two years (13.7% each), but the highest share since 2014–15. China and ten other countries also joined a mega trade pact, Regional Comprehensive Economic Partnership or RECP, which India decided to forgo at the last hour. It is quite likely that Chinese imports and investments will find their way to India via other member countries of RCEP.

The intent to provide protection to domestic industry is partly to offset the cost disabilities Indian manufacturers encounter and partly to offer them a price advantage. Indian manufacturers face a substantial disadvantage in terms of higher tax, higher power costs and higher interest. The PLI scheme is also meant to offset some of these cost disadvantages, as is the reduction in the corporate tax rate in 2019. Protection against anti-dumping on account of global surplus of manufactured goods is another requirement. While these measures are likely to have success in some products, such as mobile handsets and some medical devices, they will not improve general competitiveness. Moreover, the implementation of these schemes is sure to have its challenges.